

capabilities and also having the resolve internally for an organisation to change itself.

SAKSHI: As far as India is concerned, how will AI impact outsourcing of work?

A: AI is creating three distinct marketplaces. There is a marketplace at the base level, which has frontier models. That's not a marketplace that tech services firms will attack.

There is a middle market, which is more centered around tools for the AI ecosystem. That again is not a space we would directly like to play in. But it's an ecosystem that we will have to create very strong relationships with, to create solutions. There is an overarching layer, which is the system integration/services layer.

SHELLEY: Do you believe AI will eventually replace large parts of IT services or will it augment human expertise in a way that creates new opportunities?

A: Any new technology that has come over the last 20 to 30 years has displaced certain pieces of work. Our belief is that AI plays for technology services from a client expenditure bucket that falls across two axes. There is a 'run the business' axis and there is an innovation axis.

18 | In the former axis, spending will keep contracting because AI is a very powerful technology. And it can drive efficiencies at scale.

Any CXO, if approached with a proactive solution to an existing business problem using the right AI tool, will always flex today because the innovation tech budget has become elastic. That's how we see a big change having happened around spends.

SAKSHI: In December, Coforge made a massive bet, acquiring Encora for \$2.35 billion. Coforge is also targeting a \$2 billion revenue from combined AI-led engineering, data and cloud by FY27. So how much of this is driven by AI native spending versus, say, migrating existing legacy budgets?

A: It's a mix of both. The ground reality in the market,

“Enterprises need someone who can modernise the infrastructure and also implement AI as one integrated approach”

